MGT201 Quiz 3

Which of the following interpretations is true in context of Standard Deviation?

Select the correct option

- [x] 68.26% of the time, the Actual Return will lie within +1 and -1 Standard Deviation from mean returns.
- [ ] 68.26% of the time, the Actual Return will lie within +2 and -2 Standard Deviation from mean returns
- [ ] 66.82 % of the time, the Actual Return will lie within +1 and -1 Standard Deviation from mean returns.
- [ ] 66.82% of the time, the Actual Return will lie within +1 and -1 Standard Deviation from mean returns.

sec(s)

MGT201:Quiz #03 Quiz Start Time: 11:04 AM, 03 January 2020

Question # 2 of 10 (Start time: 11:06:21 AM, 03 January 2020) Total Marks: 1

A security in isolation is considered:

Select the correct option

- (●) more risky than the security in portfolio.
- ( ) less risky than the security in portfolio.
- ( ) at zero level of risk.
- ( ) all of the given options.

Click to Save Answer & Move to Next Question

MGT201:Quiz #03 Quiz Start Time: 11:04 AM, 03 January 2020

Question # 3 of 10 (Start time: 11:06:54 AM, 03 January 2020) Total Marks: 1

Mr. Adeal wants to make investment in variable income security and also wants to measure its risk before investing. Which statistical method will be helpful for Mr. Adeal ?

Select the correct option

- (●) Standard deviation
- ( ) Mode
- ( ) Mean
- ( ) Median

sec(s)

MGT201:Quiz #03 Quiz Start Time: 11:04 AM, 03 January 2020

Question # 4 of 10 (Start time: 11:07:19 AM, 03 January 2020) Total Marks: 1

Which of the following statements regarding risk-averse investors is true?

Select the correct option

- (●) They only care about the rate of return.
- ( ) They accept investments that are fair games.
- ( ) They only accept risky investments that offer risk premiums over the risk-free rate.
- ( ) They are willing to accept lower risk

Click to Save Answer & Move to Next Question

sec(s)

MGT201:Quiz #03 Quiz Start Time: 11:04 AM, 03 January 2020

Question # 5 of 10 (Start time: 11:07:56 AM, 03 January 2020) Total Marks: 1

Given no change in required returns, the price of a stock whose dividend is constant will_____.

Select the correct option

- Decrease over time at a rate of r%
- Remain unchanged
- Increase over time at a rate of r%
- Decrease over time at a rate equal to the dividend growth rate

Click to Save Answer & Move to Next Question

sec(s)

MGT201:Quiz #03 Quiz Start Time: 11:04 AM, 03 January 2020

Question # 6 of 10 (Start time: 11:08:31 AM, 03 January 2020) Total Marks: 1

Which of the following is TRUE about a stock if its required return = 30% and expected return =20%.

Select the correct option

- Stock is expected to achieve the investors' requirement
- Stock is unlikely to achieve the investors' requirement
- Investor will invest in this stock
- Stock is attractive for the investors

Click to Save Answer & Move to Next Question

sec(s)

MGT201:Quiz #03 Quiz Start Time: 11:04 AM, 03 January 2020

Question # 7 of 10 (Start time: 11:09:01 AM, 03 January 2020) Total Marks: 1

Beta is used:

Select the correct option

- (●) To determine the market risk of security
- ( ) To determine the portfolio risk
- ( ) To determine the risk of negatively correlated securities in portfolio
- ( ) All of the given option

Click to Save Answer & Move to Next Question

sec(s)

MGT201:Quiz #03 Quiz Start Time: 11:04 AM, 03 January 2020

Question # 8 of 10 (Start time: 11:09:33 AM, 03 January 2020) Total Marks: 1

If Share B's Beta = +1.0 then it represents which of the following?

Select the correct option

- ○ Share would be exactly as volatile as the KSE market BUT in the opposite way
- ○ Share is Twice as risky (or volatile) as the KSE market
- ● Share is exactly as risky (or volatile) as the KSE marke
- ○ Share is half as risky (or volatile) as the KSE market

Click to Save Answer & Move to Next Question

sec(s)

MGT201:Quiz #03 Quiz Start Time: 11:04 AM, 03 January 2020

Question # 9 of 10 (Start time: 11:10:09 AM, 03 January 2020) Total Marks: 1

Which of the following formula is correct to calculate Present Value of stock in constant growth model?

Select the correct option

- (●) Present value = future dividend / (required rate -growth rate)
- ( ) Present value = previous dividend / (required rate -growth rate)
- ( ) Present value = current dividend / (required rate -growth rate)
- ( ) Present value = current dividend / required rate

Click to Save Answer & Move to Next Question

sec(s)

MGT201:Quiz #03 Quiz Start Time: 11:04 AM, 03 January 2020

Question # 10 of 10 (Start time: 11:10:40 AM, 03 January 2020) Total Marks: 1

Which of the following formula is correct to calculate Present Value of stock in zero growth models?

Select the correct option

- (●) Present value = future dividend / required rate
- ( ) Present value = previous dividend / required rate
- ( ) Present value = current dividend / required rate
- ( ) Present value = future dividend / (required rate -growth rate)

Click to Save Answer & Move to Next Question